

The “CBA Bulletin” monthly of the Central Bank of Armenia has a section *Monetary Overview* which contains the 10th of April 2012 CBA Board Meeting’s Minutes on Refinancing Rate for April of 2012, and information on monetary, external, fiscal and real sectors, and data on payment and settlement system and the main financial system ratios.

The source of information on real sector (excluding core inflation) and external trade is the National Statistics Service of Armenia (<http://www.armstat.am>). The source of information on fiscal, external sectors (excluding external trade), monetary and financial statistics, core inflation and payment and settlement system is the Central Bank of Armenia. The monetary and financial statistics includes information on monetary indicators and the main financial market and financial system ratios.

Monetary indicators have been prepared based on the CBA’s *Monetary and Financial Statistics of the Republic of Armenia Manual* which is available on the CBA website in the section *Statistics*. The monetary indicators and Armenia’s international reserves have been computed on an accrual basis.

The information on monetary indicators and Armenia’s international reserves is subject to adjustment per quarter and per annum in order for the closing entries of the CBA operations to be included in these indicators. The quarterly data and the annual data shall be adjusted (treated as final) two months after the end of the reporting quarter and three months after the end of the reporting year, respectively.

The timetable for publication of statistical data is available on the CBA website in the section *Statistics*.

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The *Monetary Overview* and other CBA publications are available on the CBA website: <http://www.CBA.am>

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BOARD OF CBA

MINUTES

(10.04.2012)

Refinancing Rate for April of 2012

The 10th of April 2012 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Oleg Aghasyan, and Aharon Chilingaryan.

The Board Meeting, which opened with presentation of Situation Report, discussed the current developments on inflation, external environment and real, fiscal and monetary sectors. In March of 2012, relative to the previous month, the 12-month inflation has reduced by 0.8 pp and reached 2.2 percent, resting somewhat below the confidence band. Increased food prices made 1.2 pp of contribution to the 12-month inflation; non-food prices' and service tariffs' contributions were 0.6 pp and 0.4 pp, respectively. The month's inflation was mainly driven by petrol and fuel prices, having increased by 3.5 percent and 1.6 percent, respectively.

The monetary policy implemented during 2011 resulted in the deceleration and stabilization of the rate of inflation, and economic activity increased. The National Statistics Service of Armenia released the 2011 GDP growth of 4.6 percent, which is in line with the economic growth indicator of the state budget 2011 and consistent with the Central Bank's forecasts. The same trends persisted in early 2012: in the period January-February, relative to the previous reference period, the EAI was 5.6 percent, as a result of increased output volumes reported in industry (18.5 percent) and services (9.8 percent) and reduced output volumes posted in construction (0.1 percent). Whereas in agriculture, output volumes remained broadly unchanged as the 0.1 percent decline in animal breeding was offset by as much as 6 percent increase in plant growing.

In 2011 the current account of Balance of Payments continued improving: the current account deficit to GDP ratio reduced considerably and made up 11 percent. External trade turnover indicators suggest that in the period January-February 2012, relative to the previous reference period, growth of export (trade statistics – FOB) and import (trade statistics – CIF) has been 12.3 percent and 11.4 percent, respectively.

In the beginning of 2012 the fiscal policy's impact on aggregate demand was minor contractionary, attributable to somewhat overperformed revenues and certain savings on expenditures [in relation to Government-set quarterly proportions and Central Bank forecasts].

The developments in the financial market were as follows: in March the Central Bank continued implementing a neutral monetary policy in consideration of inflation expected to remain within the confidence band in the upcoming period of time and developments of the Armenian economy in line with the baseline scenario. Though in early February it was already clear that inflation would be going to be around the lower border of the band, the Central Bank however maintained its policy neutral, taking into account baseline forecasts of inflation for up to the end-2012. Financial market developments in March felt the impact of continuous interest rate dropping as a result of implemented monetary policy on the one hand and the change in reserve requirement mechanism in December on the other. Generally, interest rates tended downward. In particular, average market repo rate was 9.81 percent, fallen by 1.07 pp, and interbank repo rate was 9.46 percent, dropped by 1.27 pp, in relation to the February indicators. Also, average market rate of treasury bills with up to 1-year of maturity remained almost unchanged, 8.77 percent (dropped by 0.13 pp). Average interest rate of stock exchange-traded interbank loans slightly rose (by 0.39 pp) against the previous month and amounted to 8.12 percent.

In March of 2012, relative to the previous month, the average dram exchange rate performed as follows: the dram depreciated versus the dollar by 0.13 percent and reached AMD 389.13; the dram stayed unchanged versus Euro, AMD 514.4, and depreciated versus the ruble by 1.66 percent and reached AMD 13.26. Relative to March of the previous year, the average dram exchange rate behavior had been as follows: it depreciated by 5.32 percent versus USD, it appreciated by 0.32 percent versus EUR, and it depreciated by 2.34 percent versus RUB.

In view of the said developments in the financial market, the monetary indicators performed, as of the 24th of March, in the following manner: the 12-month growth of dram broad money was 28.9 percent, somewhat faster from that of broad money, owing to 44.1 percent increase in dram deposits. The 12-month growth of foreign currency deposits was 16.6 percent (10.5 percent, when impact of the change in exchange rate is excluded). In the meantime, the dollarization has subdued by 2.4 pp (by more than 5.4 percent). Growth rates of economy lending remained strong, 34.2 percent, with dram lending increased by 21.3 percent.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic environments as well as the monetary policy directions.

In the first quarter of 2012 the U.S. and Japan leading indicators as well as easing of tension related to debt problems in Euro-area brought about some optimism for the global economy. The shaped positive expectations notwithstanding, the global economic risks driven by geopolitical issues have grown considerably (an abrupt increase of prices oil products and as much as 8.5 percent rise in Brent oil price in the first quarter of 2012 as well as grown demand support this statement).

According to Food and Agricultural Organization data, food prices grew in March by 0.5 percent against February, due to increased prices of fats and oils, meat products and wheat. Price falls were reported in dairy market, however.

Despite existing inflationary pressures driven by oil price increases, the policy rate of the U.S. Fed stayed unchanged in consideration of moderate pace of economic development in the U.S.A. The European Central Bank left the refinancing rate unchanged either, albeit inflation forecasts exceed the target indicator.

The Board evaluated that external sector developments in terms of impact on the domestic inflation environment are mainly within the baseline scenario outlined in the monetary policy program: international prices of food products create a minor inflationary environment in the face of positive developments of economic activity in some advanced countries. In the meantime however, prices of oil products remain posing some risks which are associated with geopolitical developments in the Middle East.

The Board admitted that the impact of the domestic economic developments on the inflation environment is congruent with the baseline scenario of the monetary policy program and generally is non-inflationary. The growth rate of nominal wages somewhat outstrips the productivity growth rate, whereas increased private spending does not create inflationary pressures yet and the fiscal policy leaves a slightly restrictive impact.

The Board summed up that in the current perspective of world and domestic economic development there is much probability that the 12-month inflation will be within the confidence band of $4\% \pm 1.5$ pp in the forecast horizon. The Central Bank will therefore find it reasonable to maintain the policy rate at the 8 percent level, which will leave a neutral impact on the inflation environment.

In the 10th of April 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were left at 11.0 percent and 5.0 percent, respectively.